

WEEKLY TRADING PERFORMANCE REPORT

Analysis Period:	May 18-20, 2026 (Live Account — Final Report)
Report Generated:	May 20, 2026
Trader:	James
Account:	LIVE ACCOUNT (Schwab) — Trading paused after Wednesday
Strategies:	SPX Bull Put Spreads SPX Iron Condors
Market:	Choppy. Trump Iran announcement Monday. IC strategy tested and retired.
Status:	ACCOUNT PAUSED — Drawdown exceeds paper trading frequency. Strategy under review.

EXECUTIVE SUMMARY

Overall Performance: -\$1,825 across 7 trades in 3 days (28.6% win rate). Clean system: -\$1,275 (2 wins, 4 losses). Error: -\$550 (duplicated order while distracted). Trading paused on Wednesday after concluding the drawdown frequency exceeds what was observed in paper trading. The iron condor strategy, which tested well on paper, is not performing on live — 2 wins, 3 losses, -\$875 this week.

Key Findings:

- IC strategy underperforming: 2 wins, 3 losses, -\$875 this week. The paper account 100% win rate is not translating to live.
- Trade 178 insight: Adding a bear call spread to create an IC on a directional thesis doubled the stop-out probability. The call side got stopped on what would have been a profitable put-only trade.
- Trade 173 error: Duplicated buy order instead of sell while distracted. No stop set. -\$550. Multiple rule breaches in one trade.
- Drawdown frequency: Losses are occurring more often than paper trading predicted. The system's live performance doesn't match the paper baseline.
- Decision to pause: Correct call. Continued trading into a strategy you've identified as broken would compound the problem.

James's Assessment: "I'm above the drawdown frequency calculated from the paper trading. It's not working." This is an honest, data-driven conclusion. The system worked on paper. The live execution is producing worse outcomes than the paper baseline predicted. Pausing to understand why is the right response.

THIS WEEK'S TRADES

#	Day	Type	Strikes	Cts	Entry	Exit	P&L	Notes
172	Mon	BPS	7320/7300	5	\$0.65	\$1.45	-\$400	Stopped. Would have expired OTM.
173	Mon	BPS Err	7320/7300	5	\$1.30	\$0.20	-\$550	ERROR. Buy not sell. Distracted.
174	Mon	IC	7435-7300	5	\$0.95	\$0.00	+\$475	Expired worthless. Full premium.
175	Mon	IC	7400-7330	5	\$0.65	\$1.60	-\$475	Trump Iran annc. Stopped.
176	Tue	IC	7465-7245	5	\$0.75	\$0.10	+\$325	Wide IC. 87% capture.
177	Tue	IC	7430-7330	5	\$0.75	\$1.65	-\$450	Tighter IC. Stopped.
178	Wed	IC	7440-7280	5	\$1.25	\$2.75	-\$750	Gapped against. Account retired.

TRADE 178: THE IC INSIGHT

Trade 178 produced the week's most important insight, directly from James's journal: adding a second spread (call side) to create an iron condor on a directional thesis simply doubled the chance of being stopped out. The thesis was clear that the market was rising — putting a bear call spread above on thin premium was counterproductive. It caused what would have been a profitable bull put trade to become the biggest loss of the week.

The Hard Rule from Trade 178:

No strategy alterations on the fly. Any change to strategy must go back through thorough backtesting and paper trading before live capital. No exceptions. The IC structure was tested on paper at 1-lot sizes with wide wings and showed 100% win rate. On live, at 5 lots with tighter wings and thin premium, the structure produced 2 wins and 3 losses. The paper test and the live execution were not the same strategy.

COMPLETE LIVE ACCOUNT PERFORMANCE (Trades 155-178)

The live Schwab account ran for 11 trading days (May 6-20) across 24 trades. Here is the complete picture.

Metric	Value
Total Trades	24
Wins	12
Losses	12
Win Rate	50.0%
Total P&L	-\$1,145
Clean P&L (ex-errors)	+\$155
Error P&L	-\$1,300
Estimated Fees/Commissions	~\$850
Net P&L After Fees	~-\$2,000

Strategy	Trades	Wins	Losses	Win %	P&L
Bull Put Spreads	15	9	6	60%	+\$860
Bear Call Spreads	2	0	2	0%	-\$1,050
Iron Condors	5	3	2	60%	+\$345
Error Trades	2	0	2	—	-\$1,300
TOTAL	24	12	12	50%	-\$1,145

THE PREMIUM FLOOR DATA (Full Live Account)

Premium Level	Trades	Wins	Losses	Win %	P&L
Thick (≥\$0.65 credit)	12	9	3	75%	+\$2,140
Thin (<\$0.65 credit)	10	3	7	30%	-\$2,585
Error trades	2	0	2	—	-\$1,300

The data across the full live account confirms the pattern from Week 1: thick premium trades are profitable (75% win rate, +\$2,140). Thin premium trades are net negative (30% win rate, -\$2,585). If only thick-premium trades had been taken, the live account would be approximately +\$2,140 before fees — roughly +\$1,300 after fees. Profitable.

WHY LIVE PERFORMANCE DIFFERS FROM PAPER

The core question: why did the system that generated +\$61,105 in clean paper P&L; across Account 3 produce only +\$155 in clean live P&L; across 22 trades? Several factors:

1. Premium Selection Degraded on Live

On paper, position sizes were larger (40-100 contracts) which allowed selling further OTM with sufficient total premium. On live, conservative sizing (4-15 contracts) pushed entries closer to the money to hit meaningful dollar premiums. Closer strikes = thinner premium per contract = more gamma noise stop-outs. The paper account's success was partly a function of size.

2. Fees and Commissions Are Real

Approximately \$850 in fees/commissions across 24 trades. On paper this was zero. On small premium trades (\$0.35-\$0.65 credit), fees can represent 5-15% of the total premium. This erodes the edge that existed on paper.

3. IC Strategy Was Not Paper-Equivalent

Paper ICs were tested at 1-lot with very wide wings (\$6-9 premium). Live ICs were 5-lot with tighter wings (\$0.65-\$1.25 premium). These are fundamentally different trades. The paper success didn't validate the live structure.

4. Execution Under Real Money Pressure

Two error trades (-\$1,300) and multiple rule breaches (emotional reopen, churning, distracted execution). Paper trading doesn't reproduce the psychological pressure of real money. The errors that were eliminated on paper returned on live.

WHAT WORKED ACROSS THE LIVE ACCOUNT

- ✓ Bull put spreads with thick premium: 9 wins, 3 losses, +\$860. The core strategy is viable on live.
- ✓ Tranche entry technique (trade 168): Averaging into better premium on dips. +\$230, 85% capture.
- ✓ Correction day adaptation (trade 170): Placed strikes 100+ points below on a falling market. +\$500.
- ✓ 1DTE positions (trades 155, 158): Overnight holds with wider strikes worked well. +\$810 combined.
- ✓ IC at 1-lot (paper S12-S14): 100% win rate, \$6-9 premium. The structure works at the right size and premium.
- ✓ Decision to pause: Recognising the drawdown pattern and stopping before compounding it.

WHAT DIDN'T WORK

- **1. Thin premium on live:** 30% win rate below \$0.65 credit. Not viable.
- **2. IC on directional thesis:** Adding a call side on a bullish day doubled stop-out probability. ICs need neutral thesis, not directional.
- **3. Strategy alteration on the fly:** Moving from paper-tested 1-lot wide-wing ICs to 5-lot tight-wing ICs on live without re-testing.
- **4. Execution discipline under real money:** Errors returned that had been eliminated on paper.

PATH FORWARD

The live account is paused, not abandoned. The data shows a viable strategy inside the noise:

What the Data Says	Implication
Thick premium BPS: 75% win rate, +\$2,140	The core BPS strategy works on live — with sufficient premium
Thin premium: 30% win rate, -\$2,585	Below \$0.65 credit is not viable on live. Hard floor.
IC on directional: doubled stop-outs	ICs need neutral thesis or wider wings. Not a directional overlay.
Paper ≠ live on IC sizing	Any new strategy needs paper testing at LIVE-EQUIVALENT parameters
Errors returned on live (-\$1,300)	Execution pressure is real. Smaller positions until discipline stabilises.
Fees: ~\$850 on 24 trades	Factor fees into minimum viable trade size. Very small trades are fee-negative.

CONCLUSION

The Honest Numbers: 24 live trades over 11 days. Total P&L: -\$1,145. After fees: approximately -\$2,000. The headline loss is modest but the trajectory was worsening — this week was -\$1,825 in 3 days, the worst rate yet. Stopping was the right call.

The Signal Inside the Noise: Thick premium bull put spreads made money on live. 75% win rate, +\$2,140 across 12 trades. That's the viable live strategy. Everything else — thin premium entries, directional ICs, emotional reopens — subtracted from it. The path back to live trading is narrow and specific: BPS only, minimum \$0.65 credit, no strategy alterations without paper validation, and enough contracts to make fees proportional.

The Hardest Lesson: Paper trading success doesn't automatically translate to live. The psychological pressure, the real fees, and the temptation to modify strategies on the fly all degrade performance. The gap between +\$61,105 clean paper P&L; and +\$155 clean live P&L; is not explained by bad luck. It's explained by different execution conditions. The next live attempt needs to account for this explicitly.

What Happens Next: Go back to paper. Test the specific configuration that worked on live (thick premium BPS, minimum \$0.65 credit, 5-15 contracts) for 2-3 weeks. Validate the win rate and drawdown frequency at those exact parameters. Then return to live with a proven live-equivalent baseline, not a paper-inflated one.